ONE QUESTION REVIEW

Does the lower monthly price mean lower annual cost?

A small team is comparing two software plans for 12 users.

Scope

Review the first 12 months at the same seat count and exclude taxes and any usage-based charges.

Evidence reviewed

E1 Plan A quote: USD 24 per user per month plus USD 900 onboarding.

E2 Plan B quote: USD 29 per user per month with onboarding included.

Findings

Answer
The lower monthly seat price does not produce a lower first-year total.

Calculation
Plan A totals USD 4,356 and Plan B totals USD 4,176 at 12 seats.

Sensitivity
At the same rates, the seat-price difference offsets the onboarding fee at 15 seats.

Limits

The comparison depends on a fixed seat count and the quoted onboarding charges.

Next step

Confirm whether either plan has minimum usage fees before using the totals in a purchase decision.